ELEPHAS INVESTMENT

Elephas Alphas Fund

September 2025

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Elephas Investment Management Limited

- Founded in 2015, Elephas is an investment management firm regulated by Securities and Futures Commission in Hong Kong
- We aim to achieve absolute return and long-term capital growth.
- Since 2020, we have invested heavily in talent and have made a transition from a pure human-driven investment process to a quantamental investment process.
- Yiwen Li is the sole shareholder and director of the company.

Yiwen Li	Founder and Partner	2015-present	Elephas Investment	CIO
		2012-2015	Morgan Stanley Investment Management	Portfolio Manager
		2010-2012	Sloane Robinson	Investment Analyst
		2007-2010	London School of Economics	Bachelor in Economics

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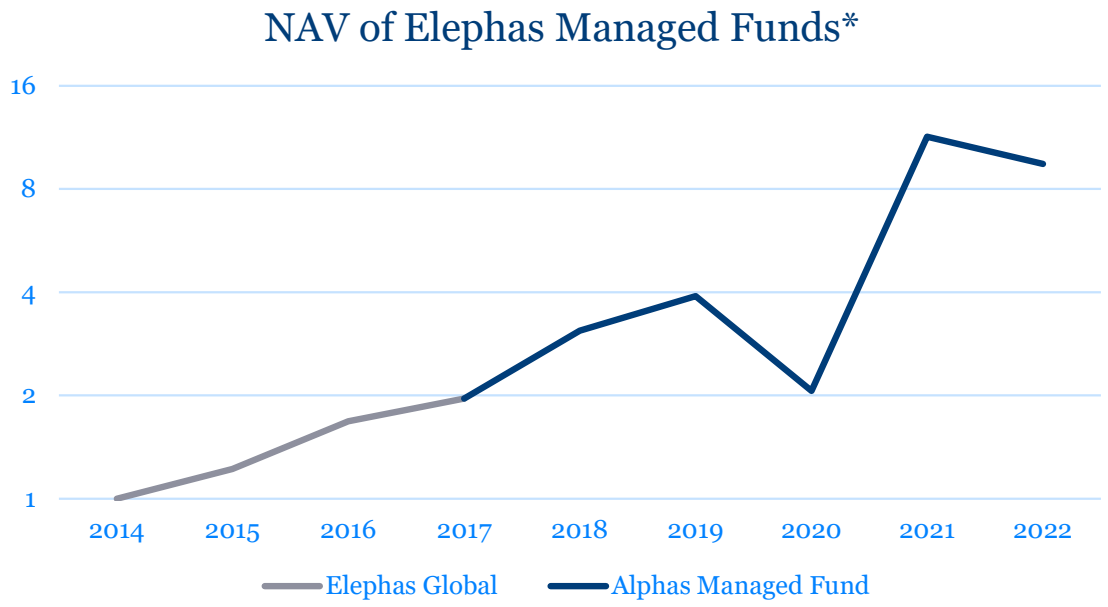
We have compounded client's capital at 30% per annum



Sources: SS&C, Morgan Stanley Fund Services

- Post the drawdown in 2019, we have reflected on the limit of pure human driven process and have invested heavily in our quantitative and systematic infrastructure.
- Elephas returned all external capital in 2021.
- After three years of development, we are now taking external capital again: we launched Alphas Fund in 2024, and we still extremely excited about the opportunity in Chinese equity today.

*Elephas Global returned all outside capital in 2019. Alphas Managed Account was launched in 2017 and returned all outside capital in 2021. Between 2017-2019, the performance of Elephas Global matched that of Alphas Managed Fund. Average AUM for Elephas Global until 2019 was $430m and average AUM for Alphas Managed Account was $300m.

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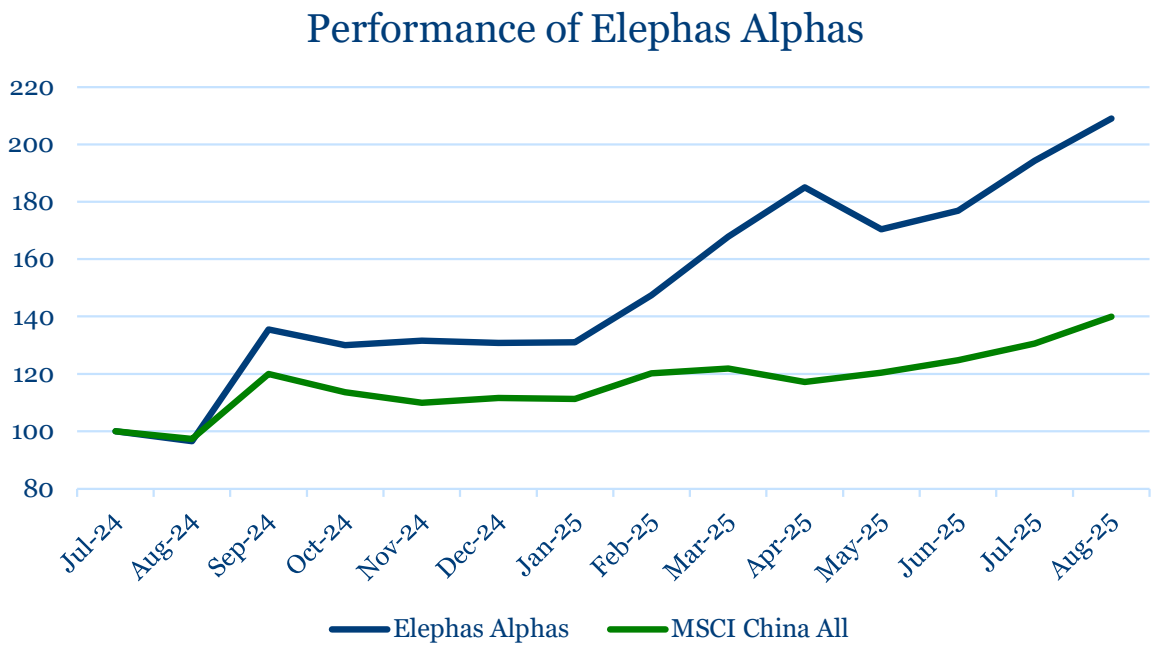
Performance of Elephas Alphas Fund



Elephas Alphas*	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD	ITD
2025	0.19	12.45	13.88	10.26	-7.95	3.83	9.30	8.41**					**60.21**	**109.6**
2024								-3.38	40.27	-4.03	1.18	-0.59	30.81	30.81
MSCI China All	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**YTD**	**ITD**
2025	-0.32	8.07	1.39	-3.85	2.74	3.59	4.62	7.19					25.74	40.35
2024								-2.62	23.19	-5.27	-3.23	1.50	11.62	11.62

*Class A, net of all fees
** Elephas estimate

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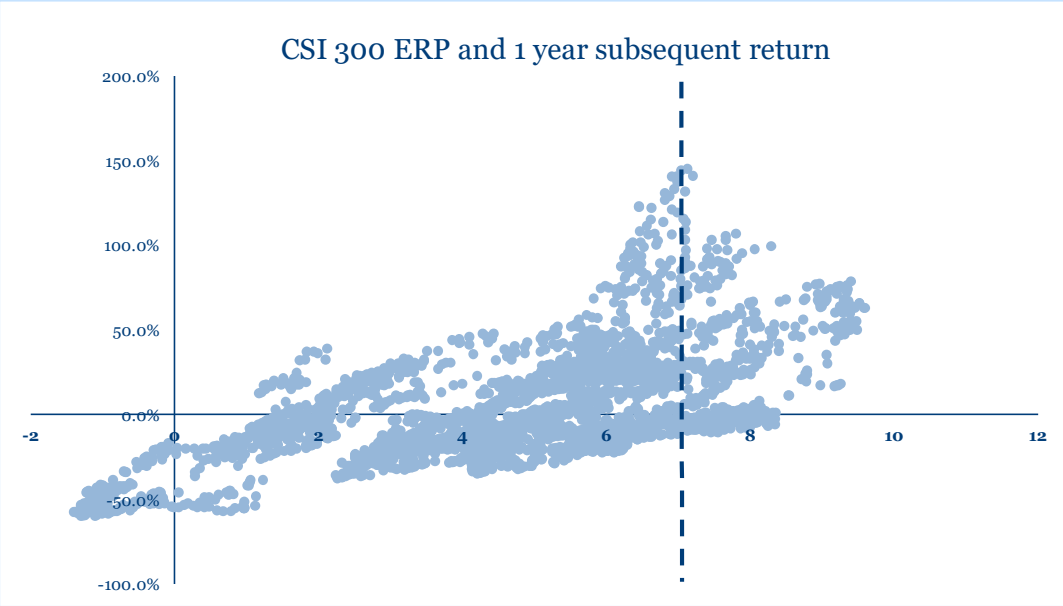
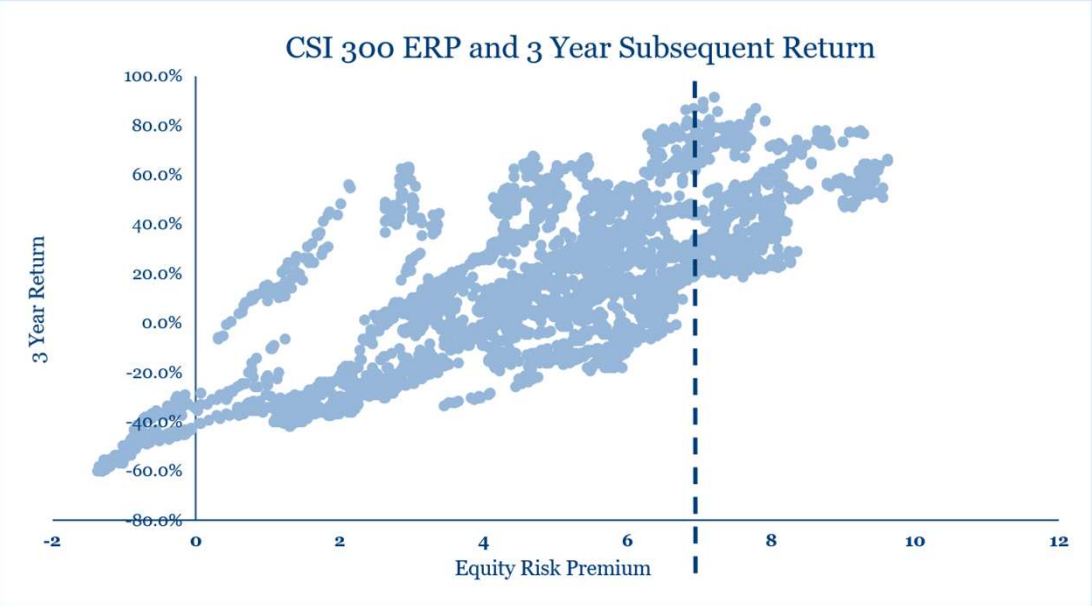
Favourable risk reward for Chinese equities

- Elevated Chinese equity risk premium dictates an extremely favourable risk-reward from here
- Historically at the current ERP of 7%:
- On a 1 year basis, the average expected return is 28%
- On a 3 year basis, the average expected return is 42% with zero chance of losing money





Sources: Bloomberg

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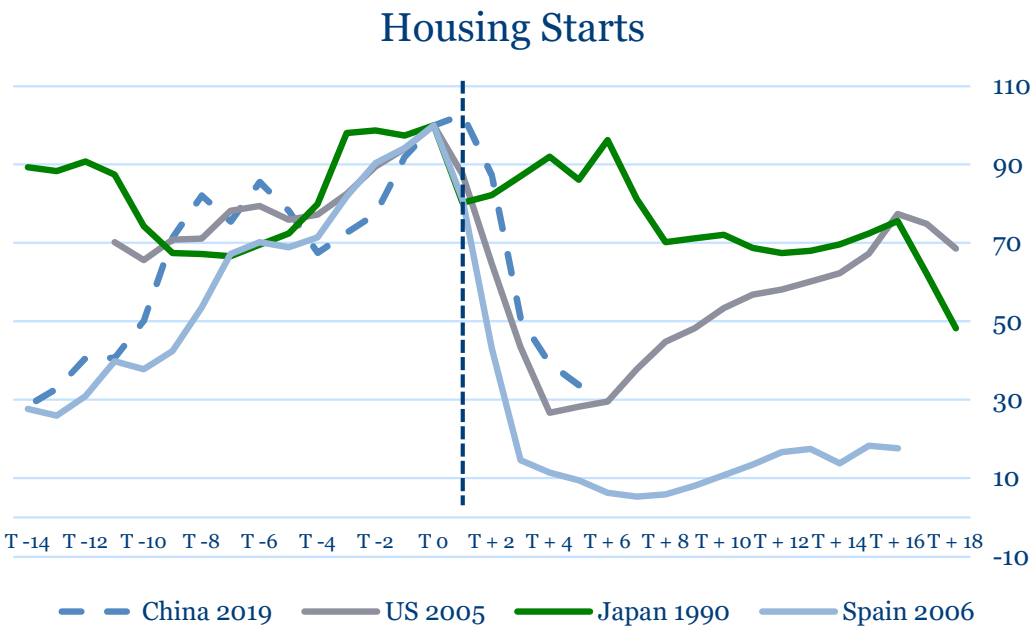
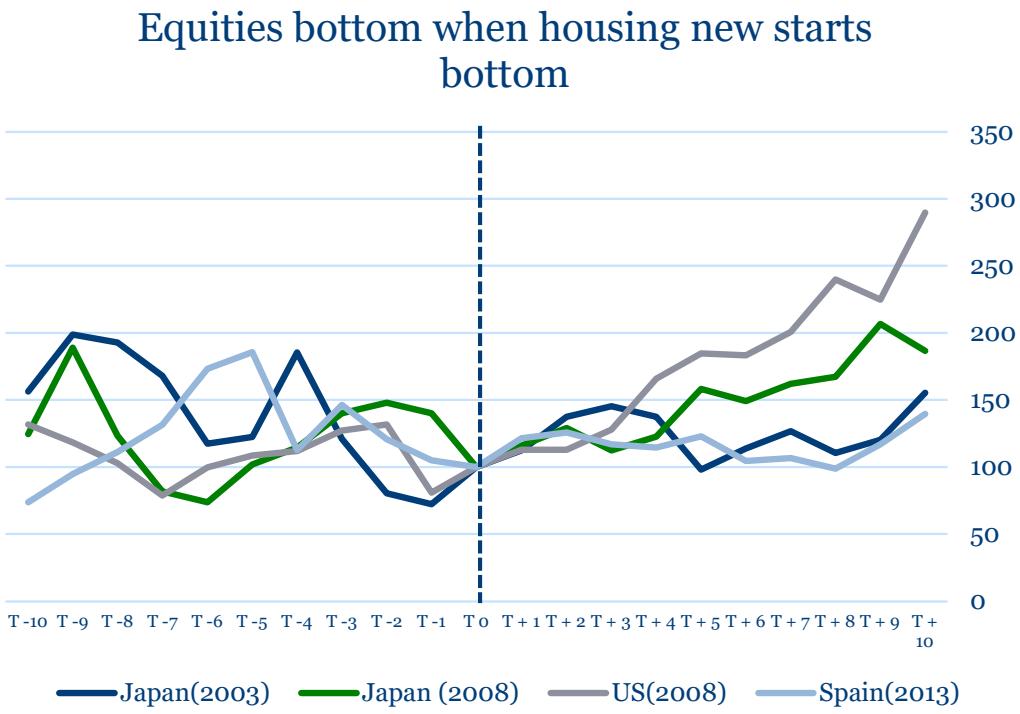
China has been through a painful housing correction

- Housing starts comparison suggest China has taken a lot of pain
- Each episode of housing correction has coincided with equity market bottoming
- The latest shift of policies may bring the current correction to an end





Sources: Bloomberg

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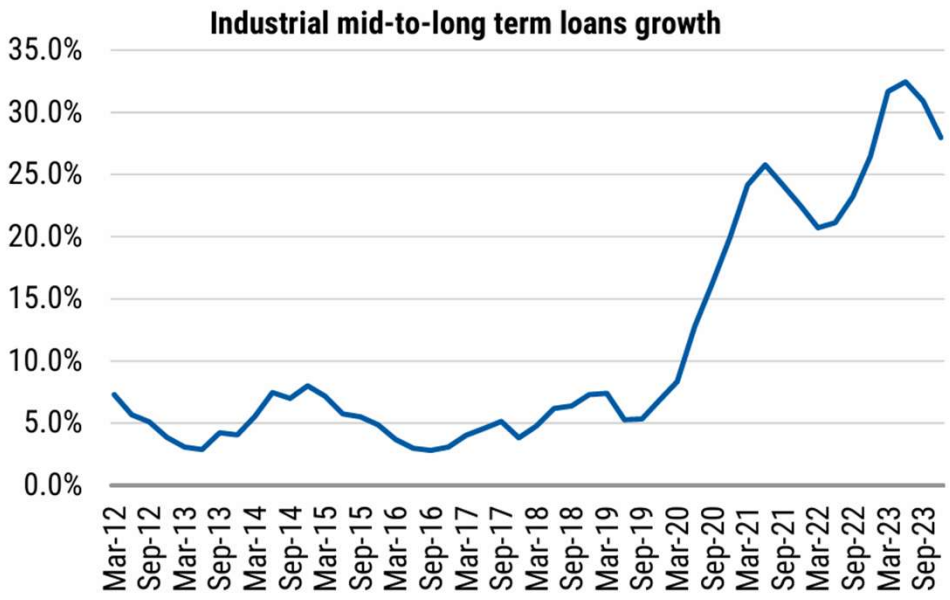
Policy Intervention is not random

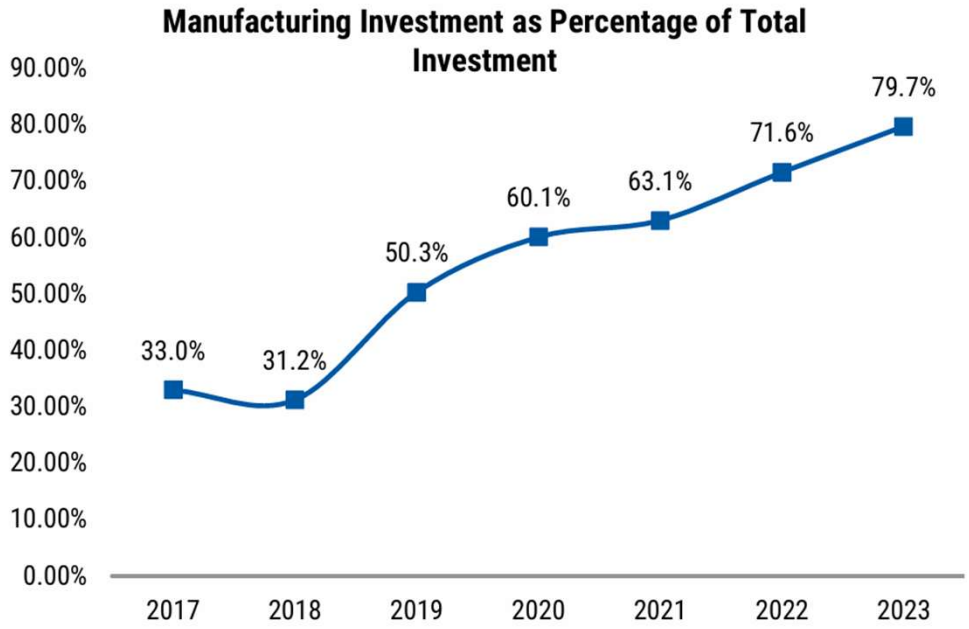
- The ambition for common prosperity commands a push towards industrial and manufacturing sectors away from internet and fin-tech.
- The shift of financial resources to the industrial sector is notable in the recent years.

Exhibit 1: Industrial medium- to long-term loan growth has accelerated notably since 2020



Source: CEIC, PBOC

Exhibit 2: Manufacturing rose to >79% of PE/VC investment in 2023



Source: PE Data, Morgan Stanley Research

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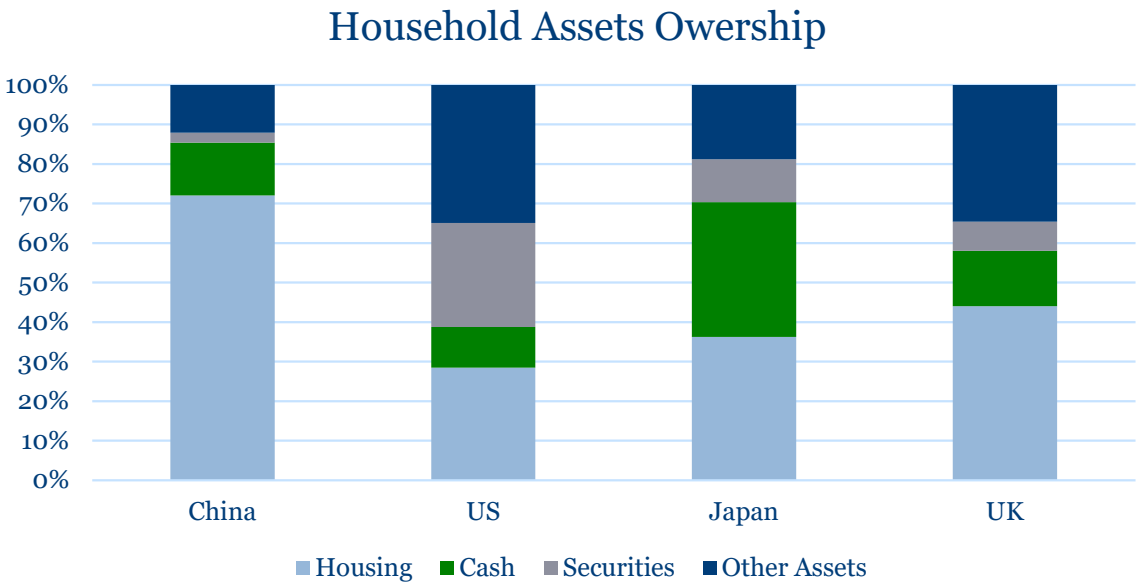
China can have a bull market on its own

- China has a much lower balance of household assets ownership vs other countries
- Securities investment only make up a 2.5% of household balance sheet, vs 26% in the US and 10% in Japan.



Sources: Fed Reserve Board, Cabinet Office of Japan, Office of National Statistics, Federal Statistics Office, PBOC

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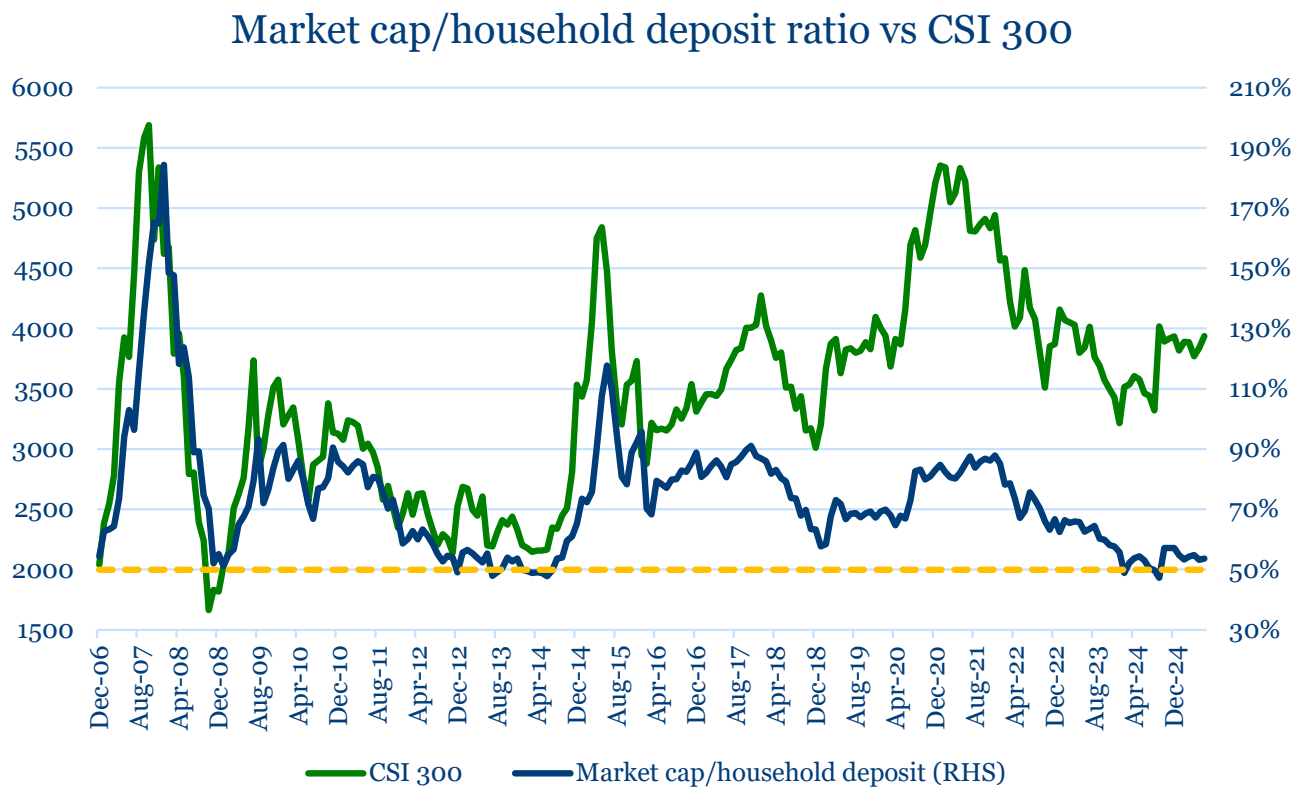
Market cap to household deposit ratio is at multi decade low



Sources: PBOC, Bloomberg, Elephas Research

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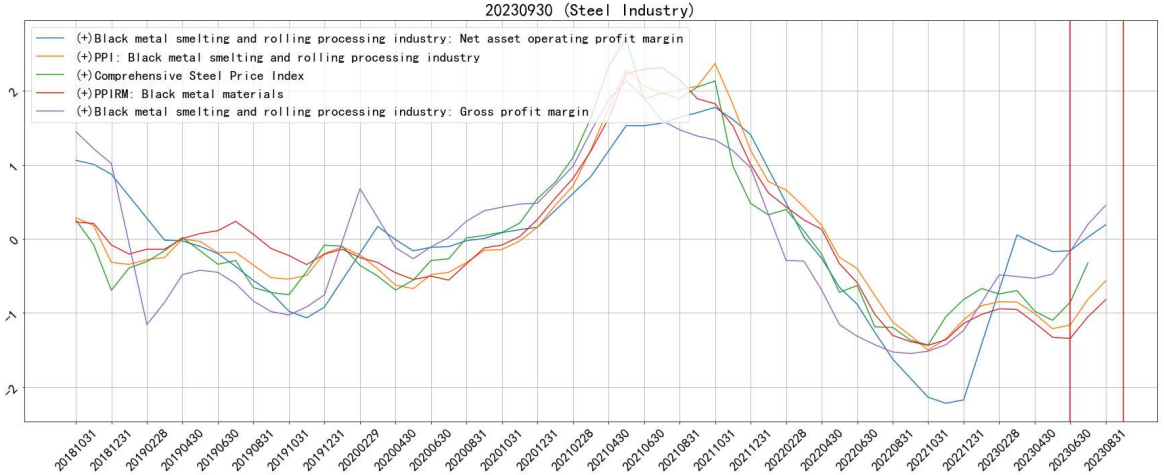
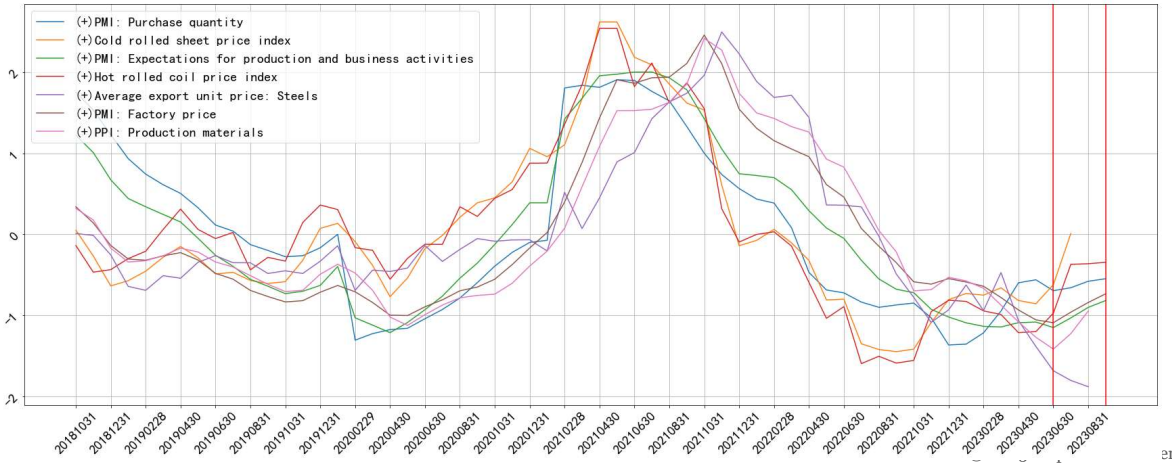
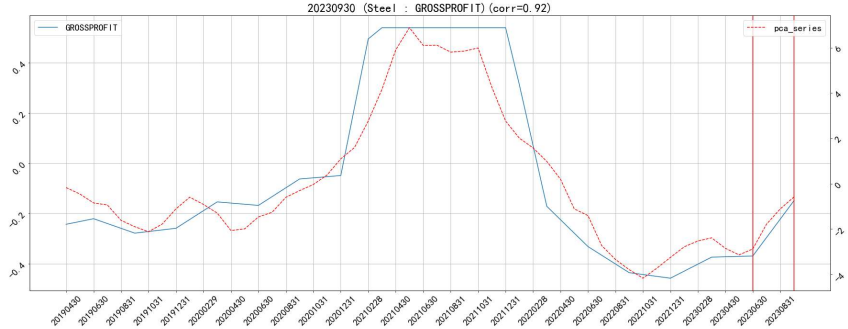
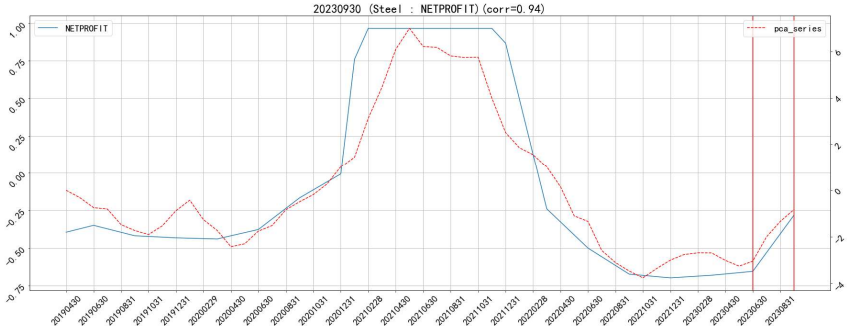
Monthly Sector Model

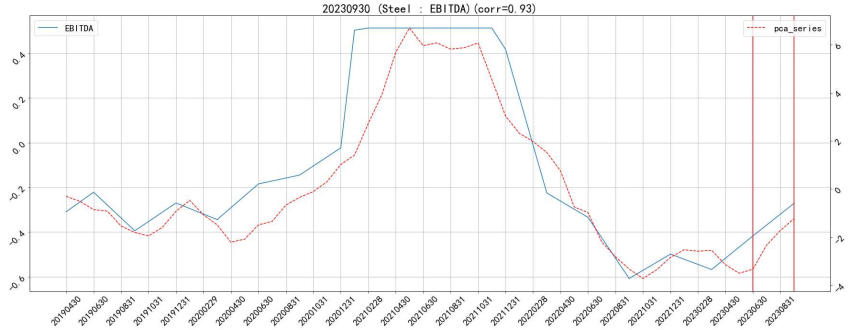
- By taking over 6000+ lines of data, including macro, micro and alternative data set, we are able to reconstruct live earnings (Gross Profit, Net Profit and EBITDA) for each of the CITIC defined primary sectors in China.
- Example: by taking in various indicators such as PMI and steel prices in Q3 2023 (left hand chart), we were able to reconstruct the industry's earnings (blue line right hand chart), which was later matched by the reported number (red line).







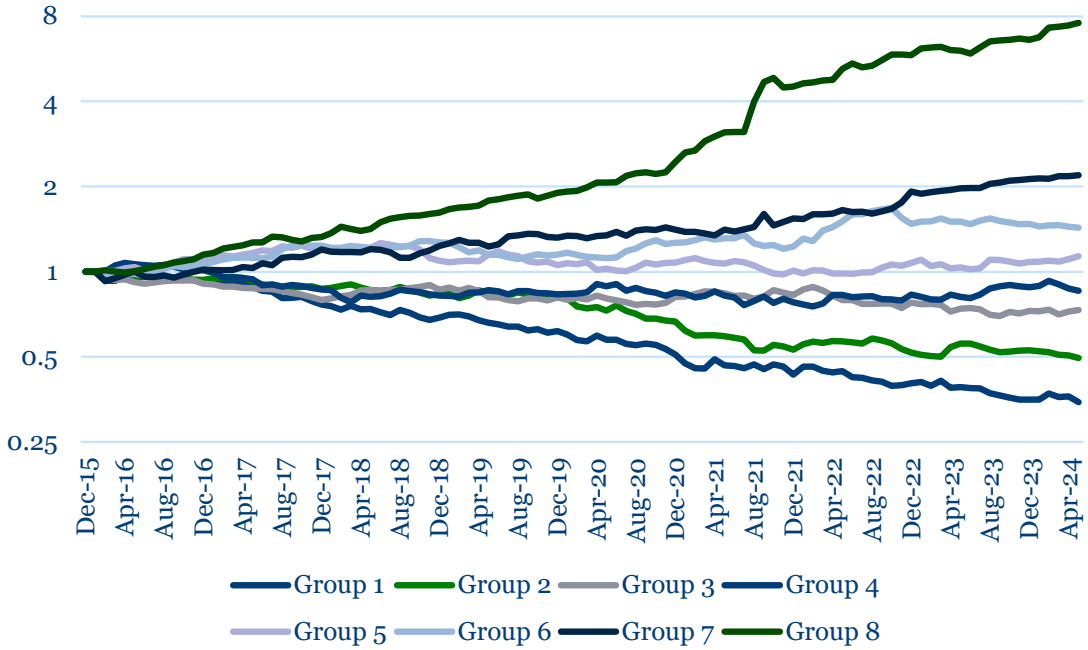




Monthly Sector Model

- Building on the live earnings model, we were about to develop various types of features to build a monthly sector model.
- Reranking 32 sectors once a month into group of 4 , best to worse.

A distinctive and descending performance for 8 groups ranked by sector score



Features	
Earnings	Difference between model earnings and consensus
Valuation	Earning revisions
Technical	Price, turnover rate
Macro	Interest rate, economic growth

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Zhejiang Dingli Machinery

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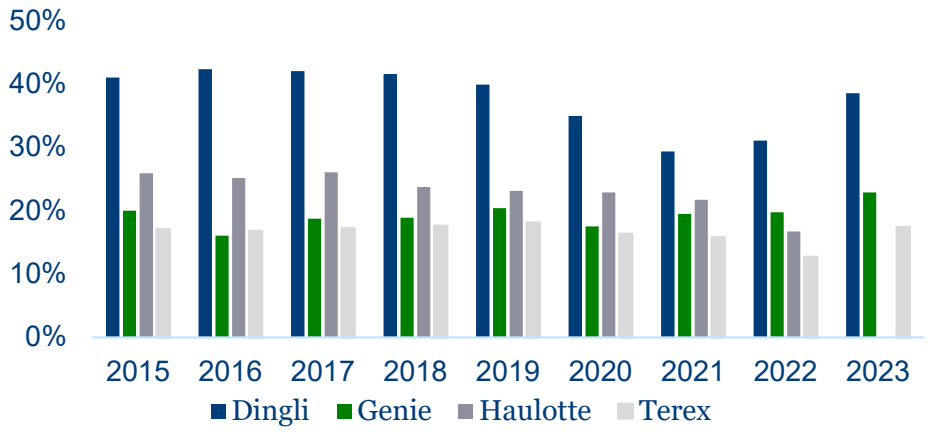
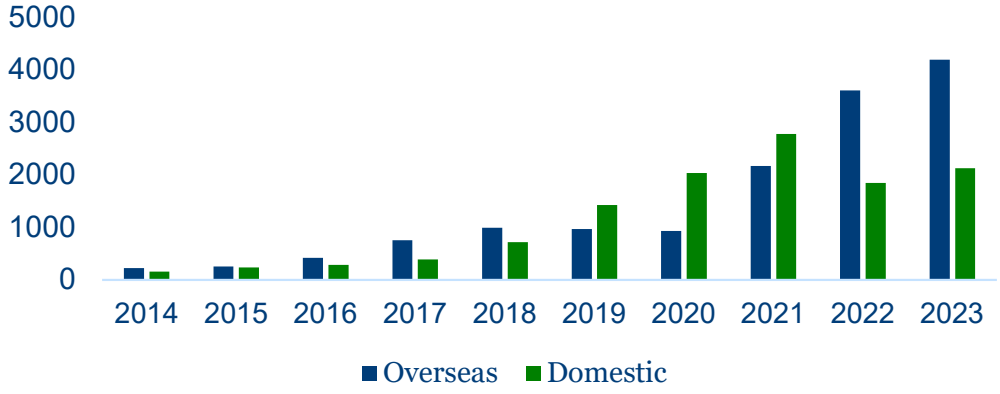
- Zhejiang Dingli Machinery Co. (Dingli) is the largest supplier of aerial working platforms (AWP) in China
- It commands a ROIC of 45% with a management completely dedicated on cost control and product quality
- It has compounded its revenue and earnings at 40% since listing in 2015. It now trades on 25e PE of 10x

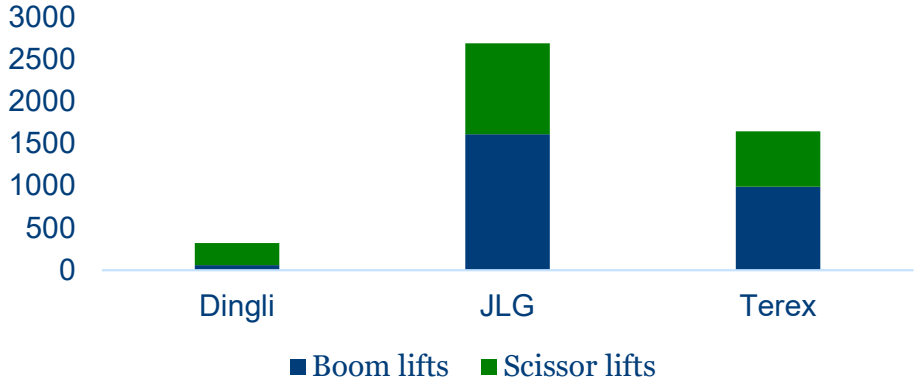
Superior Cost Control Enables Dingli to Earn Much Higher GPM vs. Global Peers



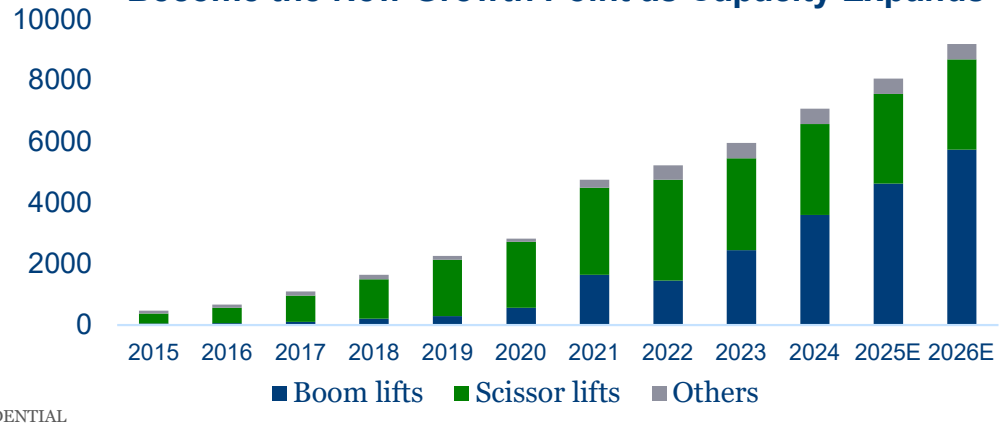
Dingli's Overseas Revenue Has Risen Rapidly over the Past Decade(mn)



Revenue Comparison with Competitors in the US Market in 2023(US mn)



Revenue Breakdown by Category(mn) — Boom Lifts Will Become the New Growth Point as Capacity Expands



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Sources: Elephas Research, Bloomberg

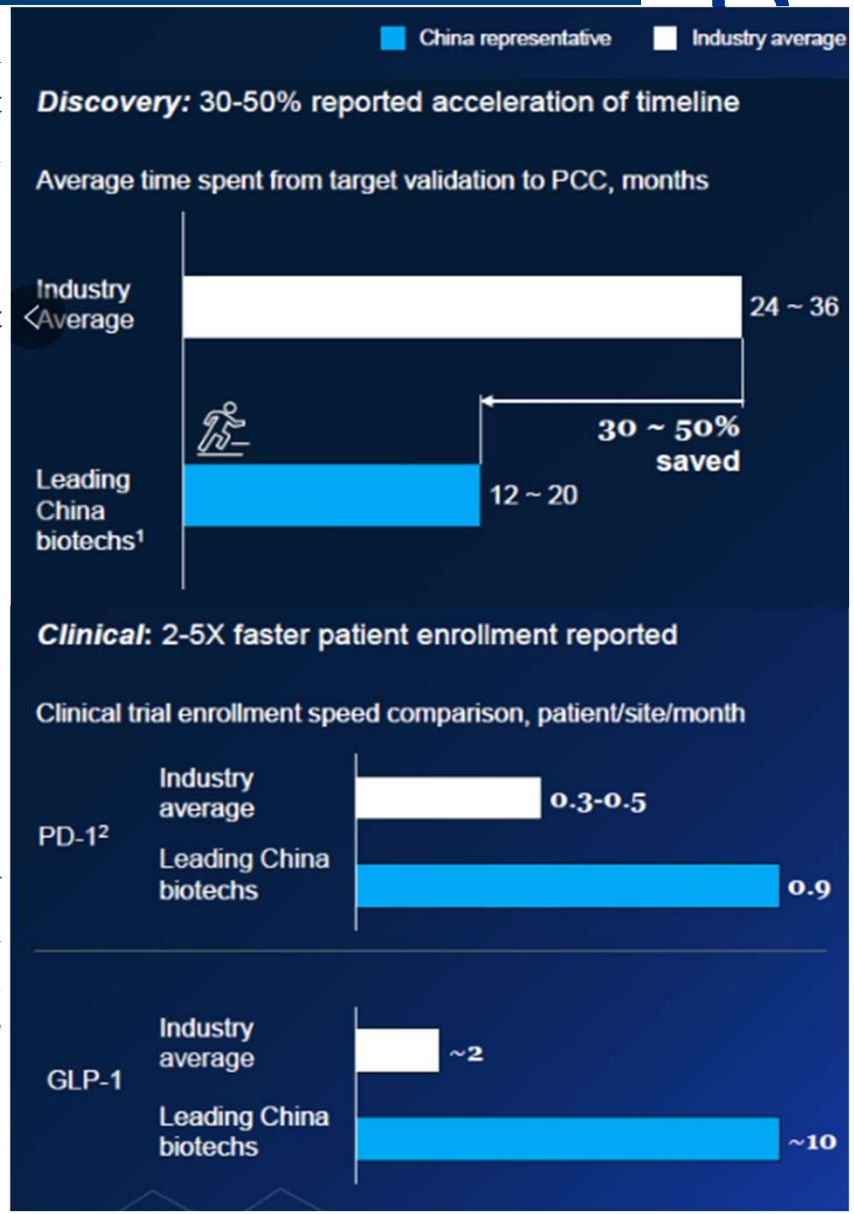
Chinese Biotech becoming globally competitive

- Recently there has been a surge of license-out deals from Chinese biotech companies to US/EU pharma. The Chinese biotech industry has several inherent advantages which, if harnessed well, can create globally competitive biotech and, in the long run, global biopharma.

- **Discovery, trial execution efficiency and speed advantages to generate fast clinical & PoC data**
  - Discovery phase time from target validation to PCC takes 30-50% less time.
  - Clinical trial enrollment 2-5 faster in China than global industry average.

- **Strength in engineering-based innovations is poised for "best-in-class"**
  - Fast iterations of validated drug targets supported by abundant high-quality and cost-effective STEM talents increases the likelihood of hitting the "best-in-class".

- Archetype of China-originated biopharma going global – 2 stages
  - **1. Global biotech** – core is global caliber R&D and BD capabilities. By developing globally competitive asset(s)/technology platforms with breakthrough potential, seeking global partners to develop, commercialize and monetize the innovative pipeline assets ***– the stage of our top pick China biotech***
  - **2. Global biopharma** – through innovation of sufficient scale, develop global footprint including global development and commercialization infrastructure.



McKinsey & Company – China Biopharma – Charting a path to value creation Nov.2023

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Sichuan Biokin

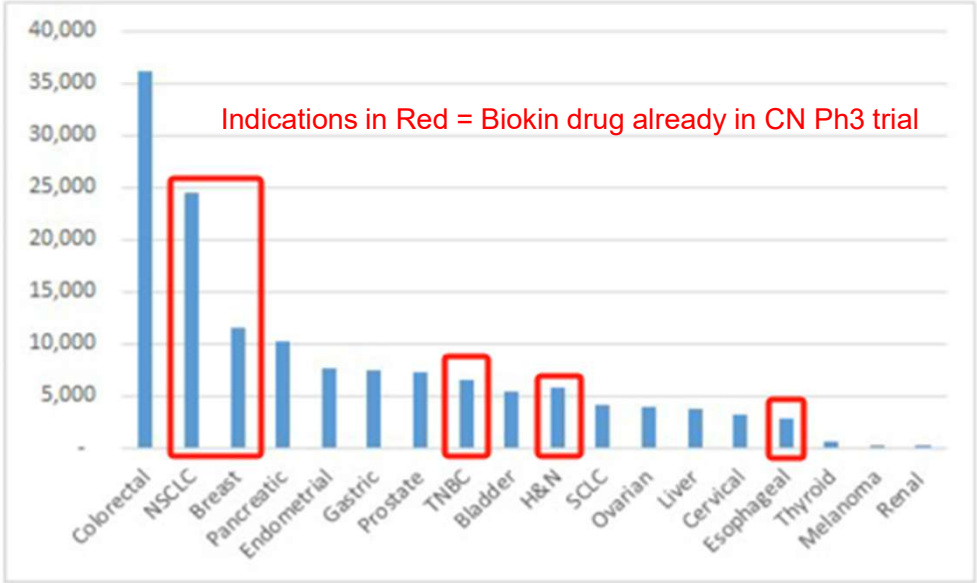
- Sichuan Biokin (parent of SystImmune) develops antibody drug conjugates (ADCs) to treat various cancers.
- ADCs are "smart chemo" that preferentially distributes to tumour tissue than healthy tissue compared to even distribution of traditional chemo. The main innovation lies in the combination of each component as the standalone components are often not novel. Hence this is a prime example of "**engineering-based innovation**" that plays to China biotech's core strength.
- **$50m R&D spend led to record-breaking $8.4bn co-development deal with BMS** – The upfront payment of $800m alone already represents 16x return on the $50m R&D spend by Biokin on the partnered drug.
- **"China speed" of clinical trial enrolment was key to the deal –** Biokin dosed >800 patients in just over 1 year and this rich pool of data helped de-risk the drug in multiple cancer indications. This speed of patient enrolment is unthinkable for a Phase 1 asset in the US or Europe.
- **Clear efficacy signals in multiple tumour types where chemo replacement has >$50bn market potential–** Biokin is already conducting Ph3 China trials in lung cancer, nasopharyngeal, oesophageal, breast cancer (and this list is still expanding). Sellside estimates replacing chemo currently in use with "smart chemo" of ADC can open up >140bn market. These indications already in CN Ph3 trial represent >50bn market.

BioSpace

BMS Inks Potential $8.4B Deal for SystImmune's ADC for Lung, Breast Cancer

Published: Dec 12, 2023 | By Tristan Manalac

Estimated ADC Sales Potential by Replacing Traditional Chemo



Source: Morgan Stanley Research

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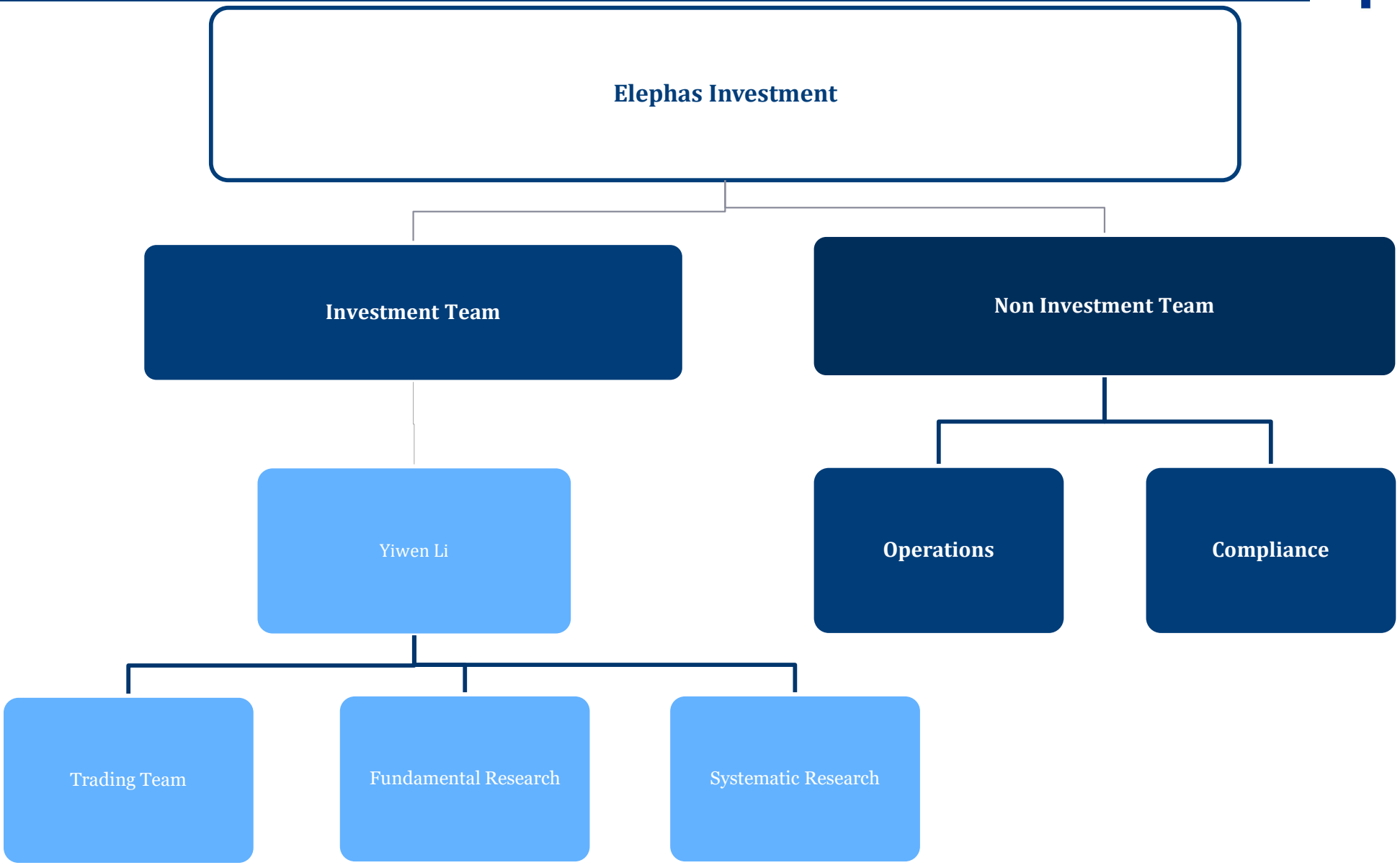
Organization Chart and Key Persons



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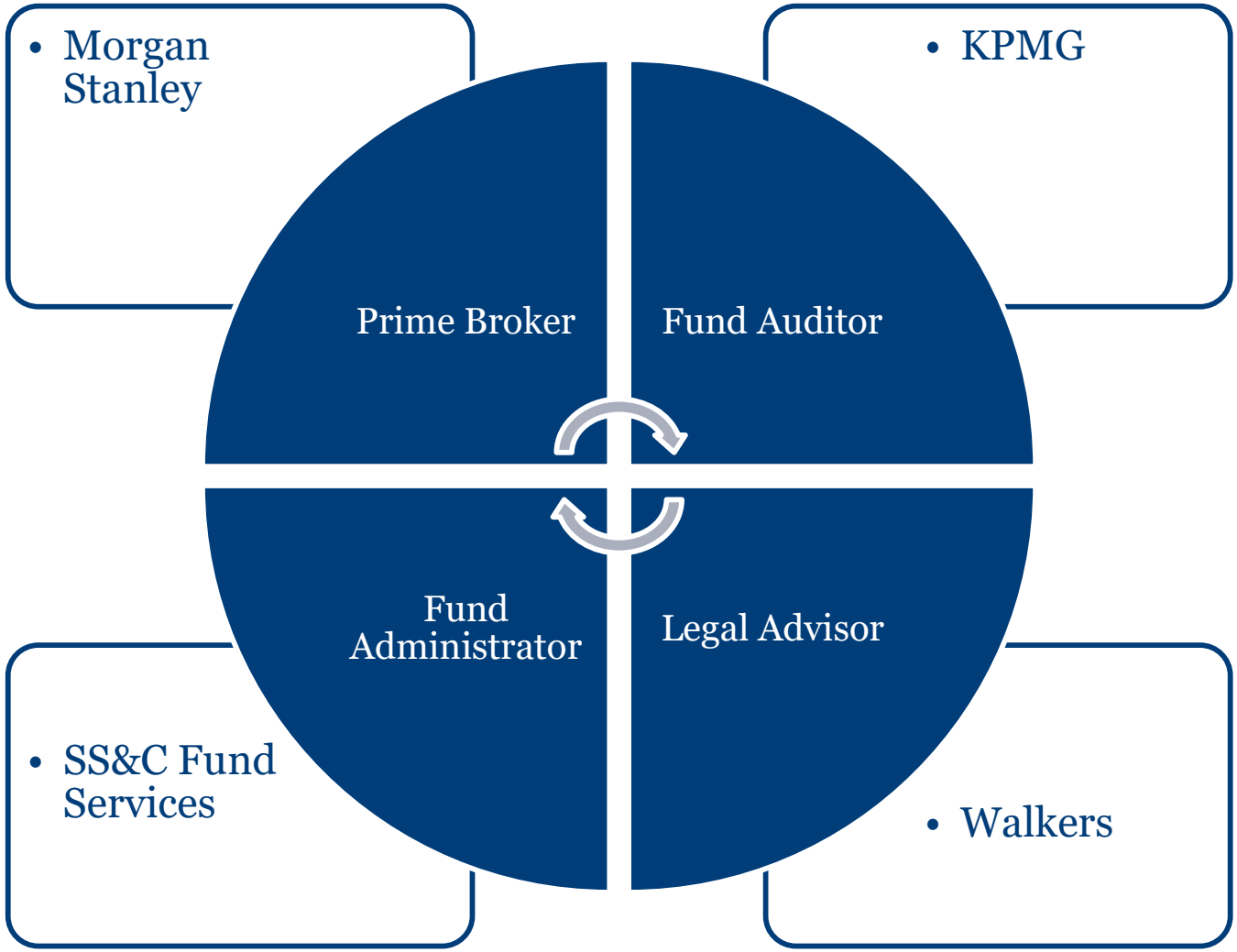
Service Providers



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Research Team Members

	EDUCATION			MAJOR
	Ph.D.	M.S.	B.S.	
A	The Chinese University of Hong Kong	University of Science and Technology of China	University of Science and Technology of China	Applied Mathematics,Statistics,Financial Engineering
B	Peking University		Peking University	Nuclear Technology,Physics
C		Oxford University	Oxford University	Biochemistry
D		UCLA Anderson	Peking University	Financial Engineering, Finance
E		Georgia Institute of Technology	University of California Irvine	Computer Science and Mathematics, Quant Finance
F		Shanghai Jiao Tong University	Shanghai Jiao Tong University	Electrical Engineering
G		Shanghai University of Finance and Economics	Shanghai University of Finance and Economics	Finance
H		The University of Melbourne	Peking University	Economics,Finance
I		Shanghai Advanced Institute of Finance	Fudan University	Finance,Communication
J		Shanghai Jiao Tong University	Anhui University	Condensed Matter Physics,Applied Physics
K		University of Oxford,University of Chicago	Fudan University	Environmental Policy,Financial Mathematics
L			University of Hong Kong	Economics and Finance

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Contact Details

Email: info@elephasinvestment.com

Address: 23F Shun Ho Tower , 24-30 Ice House Street, Central, Hong Kong

House 4, 89 Xing Guo Road, Shanghai

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